Management's Discussion and Analysis

OVERVIEW

The following is a discussion of the results of Canada Bread Company, Limited ("Canada Bread" or "the Company") for the year ended December 31, 2003.

Sales for the year increased 23% to $1.3 billion from $1.0 billion in 2002. Earnings from operations for the year were $55.5 million compared to $63.8 million last year. Included in earnings from operations in 2003 were restructuring costs of $7.4 million ($4.8 million after tax). Earnings from operations before these restructuring costs were $62.9 million. Net earnings of $35.6 million ($1.42 per share) compared to $38.7 million ($1.80 per share) in 2002. After excluding the impact of restructuring costs, net earnings for the year were $40.4 million ($1.61 per share). Earnings per share in 2003 were also impacted by the issuance in January 2003 of four million shares (see Note 8 to the Consolidated Financial Statements).

Net interest expense in 2003 was $8.4 million compared with $3.8 million in 2002 due to higher debt levels. The Company's average effective cost of borrowing for 2003 was 3.2 % (2002 – 3.1%) - (see Note 6 to the Consolidated Financial Statements).

The effective tax rate was 24.4% in 2003 (2002 – 35.8%). At the end of 2002, Canada Bread acquired operations outside Canada. The reduction in the tax rate is primarily attributable to rate differences in foreign jurisdictions. The Company's tax rate is discussed in Note 12 to the Consolidated Financial Statements.

RESULTS OF OPERATIONS

Sales increased 23% to $1.3 billion in 2003 compared with $1.0 billion in 2002. The increase was primarily due to acquisitions, primarily the purchase of the Maple Leaf Bakery assets in the U.S. and the U.K. Before accounting for acquisitions, sales for the year decreased by 4%. Although volume increased across all major product lines, the lower U.S. dollar reduced the value of sales in the United States. Earnings from operations before restructuring costs decreased 1% to $62.9 million, compared with $63.8 million in 2002. The decline in earnings was primarily due to $7.4 million in costs associated with a labour dispute at a distribution centre in Quebec, which was settled in September. Excluding these costs, the Company would have recorded a 10% increase in earnings from operations, before restructuring costs, compared to last year driven primarily by the acquisition of the Maple Leaf Foods Inc. ("Maple Leaf") bakery assets in the U.S. and the U.K. This increase in earnings was dampened somewhat by costs associated with integrating bakeries and distribution routes in Atlantic Canada.

Fresh product sales were driven by price increases and improvements in market share behind the success of extended shelf life bread marketed under the *Dempster's Stays Fresh to the Last Slice*™ brand. Frozen product sales increased as new in-store bakery and food service business was secured in both the United States and Canada. Grace Baking Company, a recently acquired artisan bread Company, extended sales of its partially baked artisan bread products into Canada and new U.S. national retail accounts. The Company's U.K. bakery operations experienced strong sales growth rates as bagel demand continues to grow in the U.K. The U.K. operations are operating very close to capacity and are planning new capacity that will meet increasing customer demand and improve the quality of its product offerings.

Early in 2004, the Company announced the opening of a new par-baked line in its Roanoke, Virginia bakery built to service the needs of a major food service operator's locations in the Eastern United States.

Throughout the year, wheat prices, which directly affect the cost of flour, were volatile and increased towards the end of the year. The appreciation of the Canadian dollar has a positive effect on flour prices for Canadian-based operations, but did not completely offset the wheat price increase. In response, price increases were announced and reflected at almost all customers by the end of the year, limiting the effect of these increased costs on the Company's profitability. While flour costs have moderated somewhat, other factors such as energy, packaging materials and labour costs have also increased compared to last year, and although cost reduction initiatives can offset some of these impacts, the Company continues to pursue price increases in order to maintain acceptable gross margins.

A significant consumer trend in the bakery industry is the growing popularity of "low-carb" diets, that emphasizes protein products at the expense of high carbohydrate items such as bread. The Company has not seen any material impacts on overall bread sales, but there has been a shift from traditional white bread toward higher value-added whole-grain breads, a trend that favours the Company's product mix. Notwithstanding this, to benefit from these dietary trends, the Company is launching new "low-carb" bread offerings for consumers who wish to make this dietary choice.

RESTRUCTURING COSTS

During the first quarter, the Company recorded a $7.4 million charge related to the closing of a London, Ontario bakery and transfer of its production to other bakeries, increasing system capacity utilization and efficiencies due to higher throughput and lower fixed costs.

The Company reflects these costs as a separate component of operating earnings and discusses the results of operations before incurrence of these costs as they are not representative of ongoing underlying operations.

ACQUISITIONS

In July 2003, the Company acquired Parisco Limited of Richmond Hill, Ontario for $6.2 million. Parisco is a leading producer of Belgian style waffles.

In 2002, the Company acquired the remaining 40% of the shares of Ben's Limited in Atlantic Canada, to hold 100%.

In 2002, the Company acquired Olafson's Baking Company Inc. of Delta, British Columbia. Purchase consideration of $14.7 million has been paid to date. Additional consideration, up to a maximum of $7.0 million, may be payable depending on the attainment of certain financial targets, until February 28, 2004. Olafson's specializes in the production of premium value-added bakery products.

On December 27, 2002 the Company purchased all of Maple Leaf Foods' U.S. and U.K. bakery operations, including Grace Baking Company, for $262.3 million, inclusive of debt of $10.7 million. Completing the integration of these organizations will enhance growth opportunities and transform the Company from a Canadian baking company to a global baking company with significant capabilities across fresh, par-baked and artisan bread product lines. In January 2003, the Company issued four million shares to Maple Leaf from treasury at $26.50 per share in a private placement transaction. Proceeds from the financing of $106.0 milion were used to pay down the Company's credit facility with Maple Leaf.

Details of assets and liabilities acquired in these acquisitions are set out in Note 15 to the Consolidated Financial Statements.

CASH FLOWS

Operating cash flow for the year of $66.4 million compared to $92.2 million last year. The major positive components of cash flow from operations were net earnings of $35.6 million and non-cash depreciation of $39.5 million. Working capital required a cash investment of $6.0 million as reductions in accounts receivable were offset by lower accruals for taxes and accounts payable and accrued charges.

Capital expenditures for the year of $63.8 million compared to $20.7 million last year. The Company owns or leases approximately 35 manufacturing facilities, and a supporting network of distribution facilities and offices. These facilities require a minimum level of maintenance spending to keep them in appropriate condition, and the Company also has a strategy of continued re-investment in technology and process in these facilities that ensures relative competitiveness and reduces the cost of production. Over time, management estimates that the current level of facilities would require $20 million to $40 million of annual maintenance and investment capital. In addition to this, the Company will further invest in incremental production capacity where warranted. Management anticipates that future capital expenditure needs can be funded by internally generated cash.

CAPITAL RESOURCES AND LIQUIDITY

The bakery industry is generally characterized by high sales volumes and rapid turnover of inventories and accounts receivable. Investment in working capital is also affected to some extent by fluctuations in the prices of raw materials, seasonal and other market-related fluctuations. Due to the stability of the industry and its successful operations, the Company has consistently generated a significant amount of operating cash. These operating cash flows provide a strong base of underlying liquidity, which the Company has supplemented with credit facilities to provide longer term funding required for its strategic investing activities.

To provide additional liquidity, the Company and its subsidiaries had aggregate credit facilities of $277 million (2002 - $363 million), of which $180 million (2002 - $308 million) was utilized (including $7 million in respect of letters of credit) at December 31, 2003. The significant credit facilities are (i) a $97 million facility established in 2001 with a syndicate of Canadian banks and (ii) a $169 million revolving term facility provided by Maple Leaf.

The bank facility is comprised of a reducing revolving term tranche of $77 million (2002 - $99 million) and a revolving term facility of $20 million, both maturing in July, 2005.

The facility provided by Maple Leaf is a revolving term facility that was established to finance the acquisition of Maple Leaf Bakeries in 2002. The terms, interest rates and covenants of this facility are substantially similar to those under the Company's bank facility. The facility currently matures in December, 2004 but may be extended, subject to certain conditions, to December 2005 at the option of Canada Bread. The facility permits prepayments without penalties and permits Canada Bread to repay up to $20 million through the issuance of common shares of Canada Bread directly to Maple Leaf.

To access competitively priced financing, the Company operates an accounts receivable securitization program. At the year end, the Company had $50 million (2002 - $50 million) outstanding under this facility.

To ensure continued liquidity, the Company maintains its leverage at levels that provide access to investment grade credit. Management is of the opinion that its cash flow and sources of financing provide the Company with sufficient resources to finance ongoing business requirements and its planned capital expenditure program.

The following table provides information about certain of the Company's significant contractual obligations as at December 31, 2003:

		Payments due by fiscal year					
	Total	2004	2005	2006	2007	2008	There-after
(millions of Cdn. $)							
Long-term debt	$173.7	$ 26.9	$146.3	$ 0.1	$ 0.1	$ —	$ 0.3
Lease obligations	39.7	15.1	10.1	7.0	4.0	3.1	0.4
	$213.4	$ 42.0	$156.4	$ 7.1	$ 4.1	$ 3.1	$ 0.7

As reflected in Note 13 to the Consolidated Financial Statements, in aggregate the Company's defined benefit pension plans were in deficit in the amount of $14 million (2002 - $13 million). The Company expects to fund these deficits from future cash flows and in 2003 contributed $3 million into all of its pension plans.

DERIVATIVES

As part of its business, the Company is exposed to market risks from changes in commodity prices (primarily wheat), interest rates and foreign exchange rates. When considered appropriate, these exposures may be managed by the use of derivative financial instruments, including interest rate swaps, currency contracts, commodity futures and options. Information on the Company's material year end derivative hedge positions is set out in Note 7 to the Consolidated Financial Statements.

Management hedges commodities when it determines that conditions are appropriate to mitigate risks and reduce the risk of loss from adverse changes in commodity prices. The Company attempts to closely match commodity contract terms with the underlying hedged exposure, and continually measures the effectiveness of the hedge in place.

The Company enters into interest rate swaps that effectively fix a portion of the interest payment on its interest bearing debt and securitization program. At December 31, 2003, 16% (2002 - 17%) of the Company's exposure to interest rate fluctuations was hedged or fixed. The Company periodically enters into foreign exchange hedges to fix certain of its foreign currency exposure.

All hedging and derivative activity is transacted in accordance with risk management policies that specify both the type of allowed derivatives, maximum trading exposures and the definition of allowable hedge activity.

During 2003, there were no material derivative gains or losses related to ineffectiveness of hedges and no material hedges were discontinued in 2003 as a result of it becoming probable that a forecasted transaction would not occur.

The Company generally holds derivative contracts to maturity, as they are matched with the underlying commodity, interest rate or foreign exchange exposure. The financial impact, should the Company terminate and settle these arrangements, is disclosed in Note 7 to the Consolidated Financial Statements. There are no other obligations or liabilities under these arrangements that may require further funding by the Company.

RISK FACTORS

The Company operates in the food processing sector, and is therefore subject to risks and uncertainties related to this business that may have adverse effects on the Company's results of operations and financial position.

Food Safety and Consumer Health Risk: The Company is subject to risks that affect the food industry in general, including risks posed by food spoilage or contamination, consumer product liability, and the potential costs and disruptions of a product recall. The Company actively manages these risks by maintaining strict and rigorous controls and processes in its manufacturing facilities and distribution systems. The Company's facilities are subject to audit by government health agencies and the Company performs its own audits to ensure compliance with its internal standards, which are generally at or higher than regulatory agency standards. However, the Company cannot guarantee that compliance with procedures and regulations will necessarily mitigate risks related to food safety.

Foreign Currencies: A significant amount of the Company's revenues and costs are either denominated in or directly linked to other currencies (primarily U.S. dollars and Pounds Sterling). Due to the diversity of the Company's operations, normal fluctuations in these other currencies have relatively small impacts on the Company's profitability due to (a) "natural hedges", or offsetting currency exposures, for example when revenues and costs are both linked to other currencies or (b) an ability to change prices of its products to offset adverse currency movements.

CHANGE IN ACCOUNTING POLICIES

(a) Hedging relationships

New accounting rules for hedging relationships became effective on January 1, 2004. These guidelines established new criteria for what transactions qualify as hedging relationships. To qualify for hedge accounting, the hedging relationship must be appropriately documented at inception and there must be reasonable assurance, both at inception and throughout the term of the hedge, that the hedging relationship will be effective. Effectiveness requires a high correlation of changes in fair values or cash flows between the hedged item and the hedging item. The Company formally documented and re-assessed all hedging relationships to determine if the new criteria were met on December 31, 2003. All of the hedging instruments and relationships used by the Company at December 31, 2003, were determined to meet the criteria relative to hedge effectiveness, and these were the same types of instruments used, and hedging relationships identified, throughout 2003.

To the extent that a designated hedge item is sold, extinguished or matures prior to the termination of the related derivative instrument, any realized or unrealized gain or loss on such derivative instrument is recognized in income.

(b) Accounting for asset retirement obligations

Starting in 2004, new accounting rules require companies to record the fair value of an asset retirement obligation on the balance sheet as a liability (and corresponding asset) in the period in which the company incurs a legal obligation associated with the retirement of a long lived asset. The resulting asset will be amortized through earnings over the life of the asset. The Company is assessing the impact of this new standard.

(c) Financial Instruments

In January 2004, Canadian accounting rules changed to require obligations that may be settled, at the issuer's option, by a variable number of the issuer's own equity instruments to be presented as liabilities. Thus securities issued by an enterprise that give the issuer unrestricted rights to settle the principal amount in cash or in the equivalent value of its own equity instruments are no longer required to be presented as equity. This change will require the Company's convertible debt currently classified as equity (Note 8 to the Consolidated Financial Statements) to be reclassified as a liability, effective January 1, 2005.

CRITICAL ACCOUNTING ESTIMATES

The preparation of the Company's consolidated financial statements requires management to make certain estimates and assumptions. The

estimates and assumptions are based on the Company's experience combined with management's understanding of current facts and circumstances. These estimates may differ from actual results, and certain estimates are considered critical as they are both important to reflect the Company's financial position and results of operations and require significant or complex judgement on the part of management. The following is a summary of certain accounting estimates or policies considered critical by the management of the Company.

(a) Goodwill – Goodwill is tested for impairment annually and as part of this test the Company assesses the value of goodwill of its various reporting units. The Company's goodwill was tested in the second quarter of 2003 and no impairment in the value had occurred.

(b) Trade merchandise allowances – The Company provides for estimated payments to customers based on various trade programs and contracts, that includes payments upon attainment of certain sales volumes.

(c) Employee benefit plans – The cost of pensions and other retirement benefits earned by employees is actuarially determined using the projected benefit method prorated on service and management's best estimate of expected plan investment performance (7.5%), salary escalation (4%), retirement ages of employees and expected health care costs. Discount rates (6%) used in actuarial calculations are based on long-term interest rates and can have a material effect on the amount of plan liabilities.

The effect on the Company's 2003 earnings of a decrease in selected assumptions, assuming no change in benefit levels, is as follows:

	Percentage point decrease	Higher 2003 expense (in millions)
Discount rate	0.50%	$ 0.6
Expected return on assets	0.50%	$ 0.4

ENVIRONMENT

The Company is conscious of its environmental responsibilities. Each of its businesses operates within the framework of an environmental policy entitled "Our Environmental Commitment" that is approved by the Board of Directors' Human Resources and Corporate Governance Committee. The Company's environmental program is monitored on a regular basis by this Committee, including compliance with regulatory requirements, the use of internal environmental specialists and independent external environmental analyses. The Company continues to invest in environmental infrastructure related to water, waste and air emissions to ensure that environmental standards continue to be met or exceeded, while implementing procedures to minimize the impact of operations on the environment. Expenditures related to current environmental requirements are not expected to have a material effect on the financial position or earnings of the Company.

QUARTERLY FINANCIAL INFORMATION

The following is a summary of unaudited quarterly financial information for the two years ended December 31, 2003 and 2002 (millions of dollars except share amounts).

2003	1st Qtr.	2nd Qtr.	3rd Qtr.	4th Qtr.	Total
Sales	$ 309	$ 313	$ 324	$ 317	$ 1,263
Net earnings	3.3	9.2	11.3	11.8	35.6
Net earnings per share (basic)	$ 0.14	$ 0.36	$ 0.44	$ 0.47	$ 1.42
Net earnings per share (diluted)	$ 0.14	$ 0.35	$ 0.44	$ 0.46	$ 1.39
Net earnings- before restructuring costs	$ 8.1	$ 9.2	$ 11.3	$ 11.8	$ 40.4
Net earnings per share- before restructuring costs	$ 0.34	$ 0.36	$ 0.44	$ 0.47	$ 1.61
Cash flow from operations	$ (3)	$ 5	$ 30	$ 34	$ 66

2002	1st Qtr.	2nd Qtr.	3rd Qtr.	4th Qtr.	Total
Sales	$ 231	$ 256	$ 273	$ 269	$ 1,029
Net earnings	6.4	10.0	11.9	10.4	38.7
Net earnings per share (basic and diluted)	$ 0.30	$ 0.47	$ 0.55	$ 0.48	$ 1.80
Cash flow from operations	$ (1)	$ 22	$ 49	$ 22	$ 92